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HOW 2023 COULD BE THE YEAR OF THE EV

THE POTENTIAL FOR GROWTH IN THE ELECTRIC VEHICLE SEGMENT IS MINDBOGGLING. BUT THE REVOLUTION IS CONFINED TO TWO-WHEELERS FOR NOW

Early in 2018, the NITI Aayog released a study which claimed that accelerated adoption of electric and shared transportation could save $60 billion in diesel and petrol costs while cutting down as much as 1 gigatonne of carbon emissions by 2030. But that hardly ruffled any feathers—till road transport minister Nitin Gadkari announced that a 100 per cent switch to electric mobility by 2030 would be his aim, and the Indian government's policy as well. Then all hell broke loose. Auto industry bosses went blue in the face, decrying electric vehicles (EVs) in private while making polite noises on the impracticality of the target in public.

A few weeks later, though unsure of the Aayog's number crunching but agreeing with the broad direction, I stuck my neck out and told the Indian Machine Tool Manufacturers Association's publication that a 100 per cent adoption of electric two-wheelers (E2W), three-wheelers (E3W) and four-wheel micro commercial vehicles appeared imminently feasible by 2030. The only caveats I raised were for the government to create an appropriate fiscal incentive regime and put in place the required physical charging infrastructure to encourage early adopters—because just the total cost of ownership of EVs would anyway take the game away from internal combustion engine (ICE) vehicles.

Cut to the third week of December 2022. Industry sources are all agog. Latest indications suggest that high-speed E2W sales in 2022 could end a whisker short of 625,000 units—up from 15,773 in 2018—a dizzying 150 per cent plus CAGR! Add low-speed E2W—competitors to the ICE mopeds—to that, and the number is probably just under 800,000 units. And the headroom for growth is still mind-boggling. As a percentage of total 2W sales, E2W still stand just above 5 per cent. But look again. The monthly run rate of just high-speed E2W is already nudging the 1 million units mark! Even automotive component makers, building on simplistic extrapolation studies by global consulting majors, now accept that a production run rate of 2 million per annum may be just six months away. And auto bosses who had disparagingly spoken and clearly relished the thought of 'eating O.A.T.S. for breakfast' (as Rajiv Bajaj quipped in reference to Ola, Ather, Tork and SmartE) are now probably eating their own words, one syllable at a time.

Will 2023 then become the breakout year for E2W? Quite without a doubt. I expect the December 2023 monthly production run rates to be nudging the 4 million units per annum mark. And E2W attaining 50 per cent of the overall 2W market by December 2024 doesn't seem a flight of fancy anymore. Critical 'necessary conditions' are already appearing. The first battery-swapping installation by a global giant, albeit for E3W, and the government announcing that swapping regulations would be firmed up by the end of January 2023 are the first indications of an intent to completely change the dynamics of the industry. By early 2024, we could expect to see large-scale Battery-as-a-Service